



10 as recovery in market conditions is yet to become clearer and more pronounced," says Khullar

It is obvious that the challenges are huge. The most telling figure of India's potential is that the world's third largest economy accounts for less than 2 per cent of world trade, with \$179 billion in merchandise exports for 8.9 per cent, with exports of \$1.43 trillion in the same year. "To boost exports, the Government would have to look at high technology exports, upgrading manufacturing capacities and cutting costs while following a path of fiscal incentives, institutional changes, enhanced market access across the world and diversification of export markets," says Ajay Sahai, director-general, FIEO. Indeed, a study by the Indian Council for Research on International Economic Relations (ICRIER) points out that trade facilitation and fiscal incentives alone cannot do wonders for exports. "In a situation where the global demand is low and companies have to work on tight margins, costs and timings of deliveries play a crucial role in sustaining global competitiveness," the report states.

There was a time when India wanted to achieve \$200 billion in exports. The target for fiscal 2008-09,

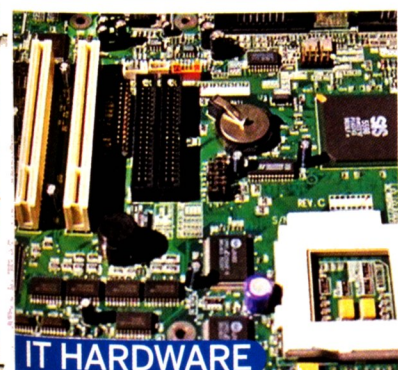
up from the \$160 billion of the previous year, was announced in April 2008 during the unveiling of the foreign trade policy by former commerce minister Kamal Nath. It was ambitious, but looked feasible. Manufacturing was growing at 13-14 per cent, churning out goods of high technological excellence, foreign investment was flowing steadily and multinationals were rolling out plans that included, making India an export hub. Fuzzy policy, procedural delays and crippling infrastructure are often cited by exporters as reasons for India's stunted export growth.

In his celebrated study in 1964 of India's export trends, Prime Minister Manmohan Singh blamed the low numbers on what he described as the legacy of "responsible economists" who, the prime minister said, did not see international trade as an engine of growth and argued against a greatly intensified export effort in the long run. This logic—that the then young economist in Singh confessed he found dissatisfying—persisted even in 1990s. The meltdown and the agonising turnaround to positive territory has once again triggered calls for long-term strategic goals and action plan to take India's share of world trade above the present 1.1 per cent.

India's export strategies have tended to veer around multi-pronged action plans couched in annual foreign trade policy documents. These policies deliver perfectly on short-term objectives to arrest and reverse a declining trend. India, however, has to engineer domestic infrastructure and overseas credit policy to realise the long-term vision of gaining a 4 per cent share in world trade, which China achieved in the early '90s. And there is no dearth of suggestions. Federation of Indian Export Organisations (FIEO) President A. Sakthivel proposes that the Government should fix the rate for export credit at 6 per cent without any linkage with prime lending rates. L.B. Singhal, director-general of the Export Promotion Council for Special Economic Zones (SEZs), believes that India's export strategy must incentivise SEZs and ex-

processes to boost exports."

ANAND SHARMA,
MINISTER OF COMMERCE
AND INDUSTRY



IT HARDWARE

Emerging segments like semiconductors and electronics need tax and interest subsidies.



AGRI SECTOR

Agri food producers want farm to port connectivity and cold chains to reach new markets.